



FNB Product Pricing, Profitability & Promotion Analysis

Daily unit pricing, gross profitability, price elasticity of demand and promotional performance across 1,053 trading days (2013-12-30 to 2016-11-16).

FROM

12/30/2013

TO

11/16/2016

YEAR

All years

MONTH

All months

PROMOTION STATUS

All statuses

PROMOTION PERIOD

All periods

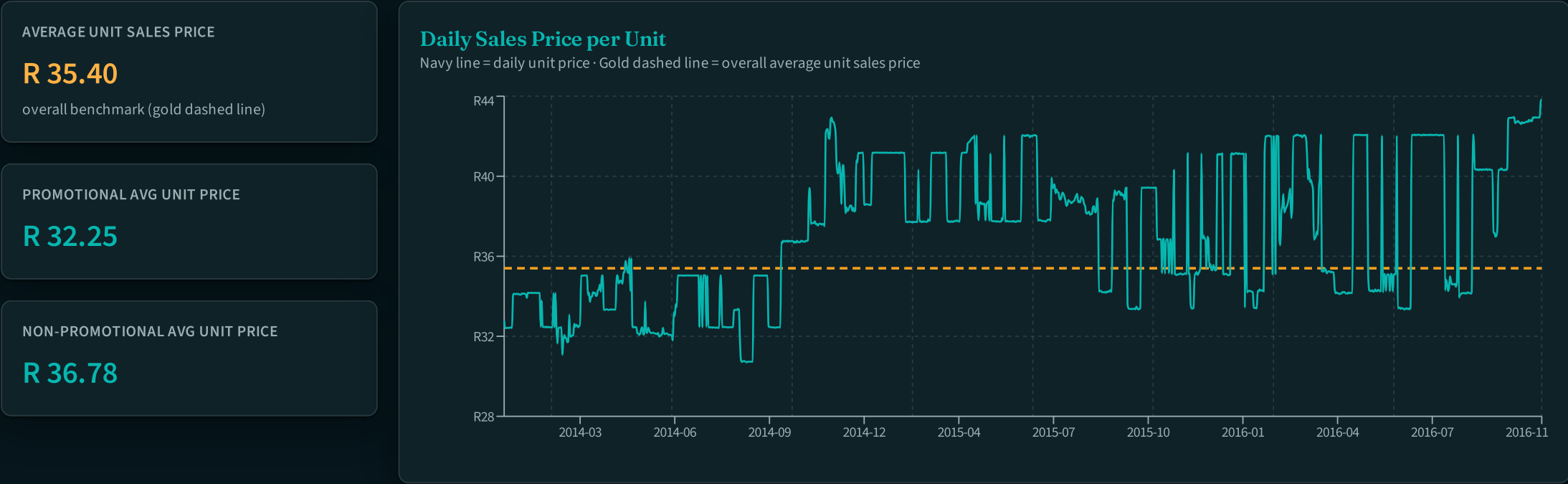
Reset filters

1,053 days in current selection.

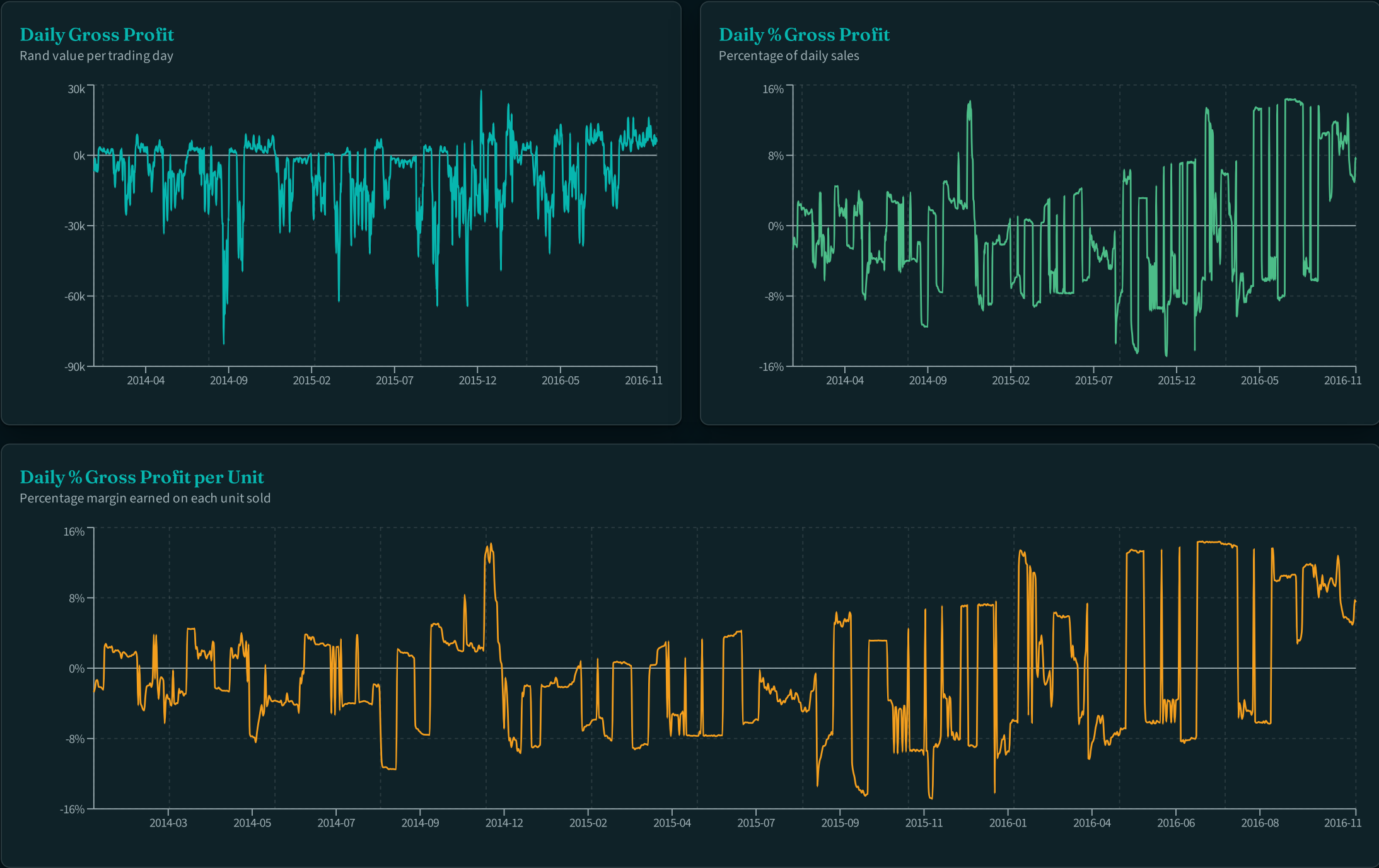
1. Overview

TOTAL SALES R 186,909,828	TOTAL QUANTITY SOLD 5,279,872 units	AVERAGE UNIT SALES PRICE R 35.40 Total Sales ÷ Total Quantity
TOTAL GROSS PROFIT R -7,116,281	AVERAGE DAILY % GROSS PROFIT -0.88%	AVG DAILY % GROSS PROFIT / UNIT -0.88%

2. Pricing



3. Profitability



4. Promotions & PED

Promotion Period	Avg Unit Price	Avg Qty Sold	Total Sales	Total Gross Profit	Avg Gross Profit %	PED	PED Interpretation
Promotion period 1	R 32.46	7,376	R 2,154,750	R -46,705	-2.10%	-4.12	Elastic
Promotion period 2	R 32.46	6,518	R 2,327,101	R -67,465	-2.94%	-2.75	Elastic
Promotion period 3	R 32.10	10,440	R 8,378,295	R -270,764	-2.97%	-8.55	Elastic
Promotion period 4	R 33.33	8,475	R 3,672,648	R -90,769	-2.46%	-7.16	Elastic

PED interpretation: PED < -1 = Elastic · -1 < PED < 0 = Inelastic · PED = -1 = Unit elastic. Negative signs are preserved as recorded in the dataset.

5. Promotional vs Non-Promotional



6. Business Conclusion

Does the product perform better or worse at a promotional price?

On the current selection, promotional days carry an average unit price of **R 32.25** versus **R 36.78** off promotion (-12.3%), and move an average of **9,611** units a day versus **4,148** (131.7%). Demand is therefore highly responsive to the discount — the recorded PED values average **-5.65**, firmly **elastic**.

Volume alone, however, does not make the promotion successful. Average daily gross profit is **-4.72%** on promotion against **-0.15%** off promotion, a swing of **-4.57 percentage points**. Promotional trading contributes **R -2,627,603** of gross profit on **R 51,757,142** of sales, while non-promotional trading contributes **R -4,488,678** on **R 135,152,686**.

Conclusion: the product performs worse on promotion in profitability terms. The discount buys substantial extra volume, but the price cut sits below the cost recovery point, so each promotional unit is sold at a thinner — and in these periods negative — margin. Promotions are best treated as volume or traffic instruments, and the discount depth should be reset so that the promotional unit price still clears cost of sales.